

CASE STUDY / CORPORATE CARVE-OUT

Carving Out a Non-Core Division — and Finding Its Natural Owner

A sell-side carve-out of a non-core renewable energy manufacturing division for a private equity sponsor — executed to preserve the business as a going concern and place it with the one buyer strategically positioned to own it.

SECTOR Renewable Energy Manufacturing	TRANSACTION Corporate Carve-Out & Cross-Border Sale	CLOSED 2023	RESULT Going concern preserved
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THE SITUATION

A carve-out with a mandate attached.

A private equity sponsor had just acquired a precision aerospace manufacturer — a deal that carried a commitment to divest a non-core renewable energy manufacturing division, with proceeds flowing to the sponsor. The division, a long-held priority of the former owner, made renewable energy equipment.

The sponsor's mandate was specific: a clean exit that kept the business and its product line running as a U.S. operation — not a wind-down, and not a sale for parts. Madfarm was engaged as sell-side advisor.

THE CARVE-OUT

Where the hard problems were operational.

A Clean Structure

The division already sat in its own legal entity, so the transaction could be a stock purchase — skipping a full asset carve-out and the delay that comes with it.

A TSA That Held Through the Move

The manufacturing footprint relocated across state lines almost simultaneously with closing. A TSA set the guardrails for custody, tracking, and handoff of significant work-in-progress and parts inventory.

Grant & Regulatory Continuity

Federal research-lab R&D grants and relationships transitioned to the new owner without interruption, and the business stayed compliant through both the change of control and the relocation.

Sponsor Governance

We ran KYC and sanctions screening on a foreign acquirer and flagged cross-border risk for the sponsor's LP group. The asset was small; the governance around it couldn't be.

FINDING THE NATURAL OWNER

A thin domestic pool isn't a dead end.

Widen the Field

Domestic buyer interest was weak, so we deliberately widened the search to international participants — looking for the buyer to whom the asset was worth more than to anyone else.

A Buyer-Specific Thesis

European renewables had matured and subsidies were fading while IRA incentives favored U.S. clean-energy manufacturing. The buyer — an international renewables company fresh off a raise led by a major European utility — had a mandate to build U.S. manufacturing.

Two Audiences to Win

Closing meant convincing two parties, not one — the buyer's management and its lead institutional investor. This was the buyer's first U.S. acquisition, and getting it comfortable with a U.S. process was a meaningful part of the role.

THE OUTCOME

A business preserved — not parted out.

Preserved

Product still manufactured and sold in the U.S. under its new owner — a going concern.

Clean Exit

The sponsor's mandate for a clean divestiture of a non-core asset, met in full.

Cross-Border

Placed with an international strategic when the domestic buyer pool was thin.

Well-Capitalized

A buyer with a strategic reason and the capital to invest in it and grow it.

We built the process around the mandate — continuity and a clean exit over headline price — and, after close, helped a first-time U.S. acquirer build local relationships in its new operating market.

“A thin domestic buyer pool isn't a dead end. We built the process around the sponsor's mandate — a clean exit that kept the business a going concern — and found the one buyer strategically positioned to own it: an international strategic for whom timing and thesis made the asset worth more than to anyone else.”

Madfarm Advisors · Sell-side advisor